Peace
Turmoil
&
Capital

Mapping *Mister Market*

A Regime-Based Study of NIFTY 500 (1990–2026)

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Aditya Mishra

Abstract

This report examines 35 years of Indian equity market behaviour through a two-regime framework, Peace and Turmoil, applied to the NIFTY 500 from 1990 to 2026. Using rolling volatility and drawdown thresholds, we classify each week into one of two states and study how returns, risk, and persistence differ between them. The findings show that regimes are highly sticky, that return distributions diverge meaningfully across states, and that volatility spikes have historically preceded the strongest forward compounding periods. The framework draws on Benjamin Graham's Mister Market metaphor to argue that capital allocation should be regime-aware rather than regime-agnostic.

Executive Summary

Markets are not calm by default. They cycle between two states, low-volatility calm where capital compounds quietly, and high-volatility stress where prices overreact and fortunes are made or lost in weeks.

This report documents that cycle on the NIFTY 500 across 35 years. The framework is simple: two regimes, Peace and Turmoil, defined by volatility and drawdown thresholds, not narrative. What emerges is not noise, it's structure.

Five things this data shows:

The market has spent far more time in Turmoil than intuition suggests. Turmoil regimes dominated the 1990s and the 2000s. The last decade has been unusually peaceful by historical standards.

Regimes are not random. Once the market enters a state, it tends to stay. The weekly probability of Peace persisting is 98%. Turmoil persists at 98.5%. Regime shifts are rare , and when they come, they come fast.

Return distributions are not interchangeable. Peace weeks carry a median weekly return of +0.48% with a standard deviation of 2.3%. Turmoil weeks carry a median of +0.27% but a standard deviation of 3.8%. The upside is narrower in Peace. The damage in Turmoil is real.

Volatility spikes are not the enemy. They are the setup. The largest forward compounding periods in Indian equity history follow the deepest drawdowns , Harshad Mehta, Dot-com, Lehman, COVID. Capital that survived and deployed into chaos compounded most.

We are not in Peace right now. The chart shows a fresh Turmoil signal in late 2025, extending into 2026. This is not a forecast , it is a reading of current regime state.

Who is "MISTER MARKET"?

Benjamin Graham invented a character. He called him Mister Market , a business partner who shows up every day with a price, sometimes reasonable, often not. On good days, Mister Market is calm, patient, almost boring. On bad days, he is frantic, irrational, willing to sell you his stake at a discount just to feel less afraid.

Graham's point was that you don't have to take his price. You can wait him out.

This report borrows that metaphor and attaches it to data.

We define two states:

Peace is when Mister Market is in control. Volatility is low, price is above its trend, drawdowns are contained. Money compounds without drama. These are the periods that feel like the market "just works." They are also the periods when risk gets quietly underpriced.

Turmoil is when Mister Market loses the plot. Volatility spikes above historical thresholds, prices fall away from trend, drawdowns break through the -15% floor. These are the periods that make headlines, generate panic, and, for the investor who keeps a cool head, tend to create the best entry prices in a generation.

There is no value judgment in these labels. Peace is not better than Turmoil. Each regime has a logic. Capital that understands that logic does not behave the same way in both states , and it shouldn't.

<u>Defining Regimes</u>

The 12-week rolling annualised volatility sits at a long-run median of roughly 18% on the NIFTY 500. When it crosses the 75th percentile (~27%), and the index is simultaneously drawing down past -15% from its all-time high, the regime shifts to Turmoil. When both conditions ease , volatility compresses back toward the median and drawdown recovers , the market returns to Peace. What the volatility chart shows (Chart 2): The 12-week (olive) and 26-week (red) rolling volatility lines move mostly together, diverging sharply at moments of regime change. The three horizontal reference lines matter: the dashed line is the long-run median (~18%). The solid line is the 75th percentile (~27%). The dotted line is the 90th percentile (~35%). Every major crisis in 35 years has pierced the 90th percentile line. The current reading is near the median , but trending up.

What the drawdown chart shows (Chart 3): Six labelled drawdown events define the risk history of this market: Harshad Mehta (1992), Dot-com (1999–2001), Election Crash (2004), Lehman (2008), Euro Crisis (2011), COVID (2020). Each one crossed the -15% threshold. Each one was followed by multi-year compounding. The current period shows a fresh drawdown developing in late 2025, still shallow relative to history but worth watching.

The -15% threshold line is the behavioural dividing line. Below it, sentiment has historically broken. Above it, most selloffs stay shallow enough to absorb.

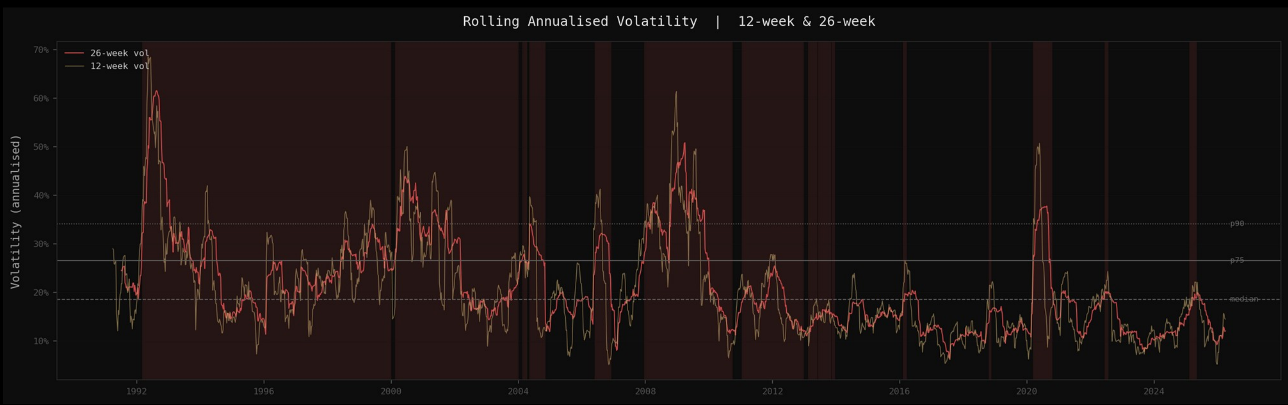

chart 2

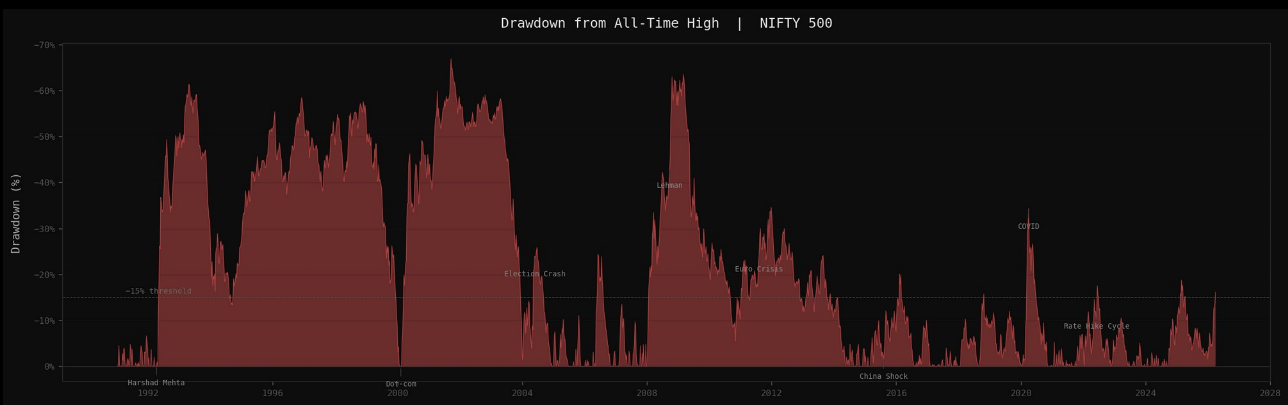

chart 3

<u>The Market Through Time</u>

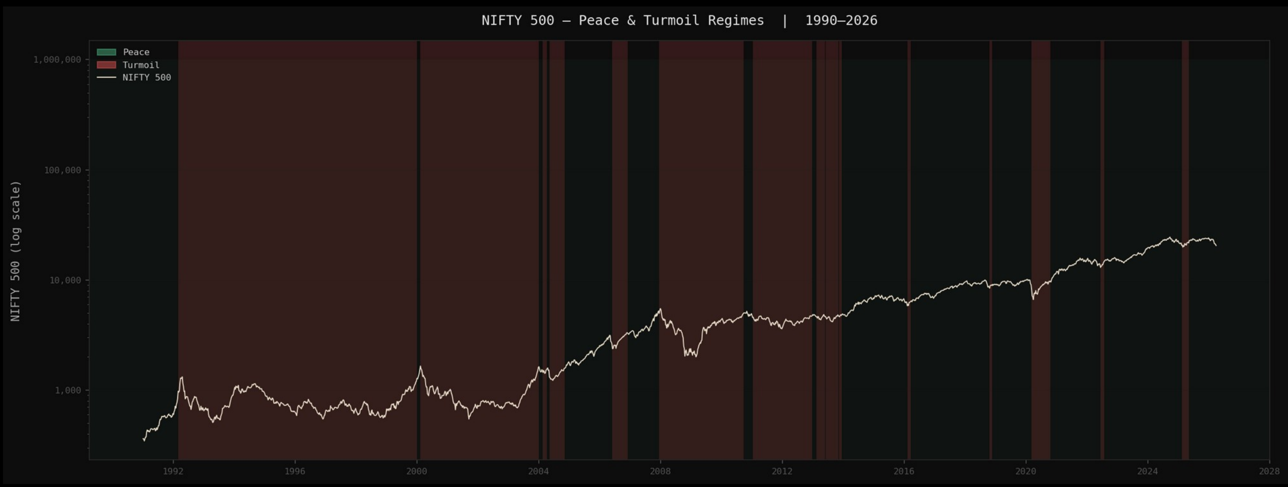

chart 1

The log scale matters here. On a linear chart, the 1990s look flat. On a log scale, the compounding is visible and the drawdowns are proportionate.

A few things stand out across this 35-year view:

The 1990s and early 2000s were almost entirely Turmoil. The market spent roughly a decade in elevated stress before the 2003–2007 bull run arrived. That bull run was itself a Peace regime, brief and steep, before Lehman ended it.

The post-2013 period is the longest consecutive Peace stretch in this dataset. From roughly 2013 to 2020, the NIFTY 500 compounded under low volatility, with only the 2016 China shock and the 2018 rate cycle producing minor Turmoil signals. COVID ended that streak violently, and then the recovery was equally violent.

The current regime: the chart shows a Turmoil flag beginning in late 2024, extending into the current date. The index is not in freefall. But it is not in Peace either.

For the long-run investor, the dominant message from this chart is not the regime periods themselves, it is the slope of the white line. From under 500 in 1990 to above 17,000 today. Every red period was followed by a new high. That is the full picture.

Peace *versus* Turmoil

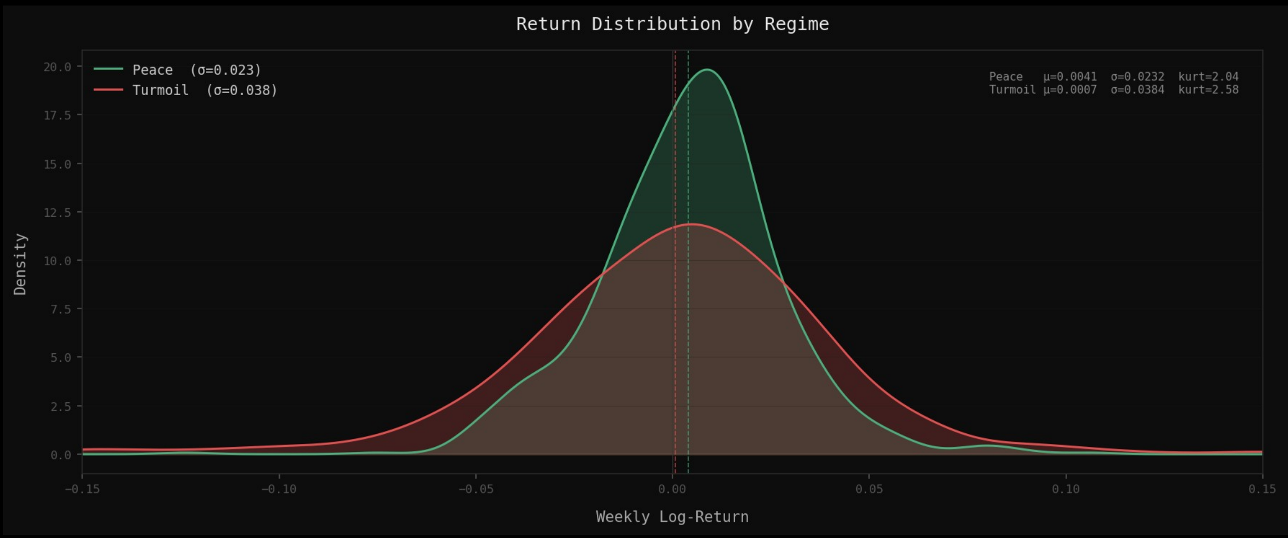

chart 4

chart 5

Chart 4 (KDE, return distribution by regime) shows this cleanly. The Peace distribution (green) is taller and narrower , it is centred on a slightly positive mean ($\mu = 0.0041$) with a standard deviation of 2.3%. The Turmoil distribution (red) is flatter and wider , mean near zero ($\mu = 0.0007$) with a standard deviation of 3.8%. The tails on both sides of the Turmoil curve extend well past what the Peace curve reaches.

This is not just academic. It changes what you can expect week to week.

Three observations worth holding:

Volatility in Peace is not just lower , it is compressed. The interquartile range in the boxplot (Chart 5) for Peace sits almost entirely between -0.02 and +0.05 weekly. Most weeks are small, positive, unremarkable. Turmoil's interquartile range is roughly twice as wide. More negative weeks, but also more strongly positive weeks.

The medians tell a partial story. Peace median = +0.48% weekly. Turmoil median = +0.27%. On a median basis, Peace wins. But medians ignore tails, and in markets, tails are where the real outcomes live.

Kurtosis in Turmoil (2.58) is higher than in Peace (2.04). The distribution has fatter tails relative to its own width. This means that Turmoil does not just increase volatility uniformly , it increases the frequency of outlier weeks, both up and down.

The practical implication: *if you are in a Turmoil regime and you are fully in cash, you are also missing the outlier up-weeks, which are as large as the outlier down-weeks.*

Do Regimes Persist?

They do. Substantially.

The transition matrix (Chart 7) is the most important single number in this report:

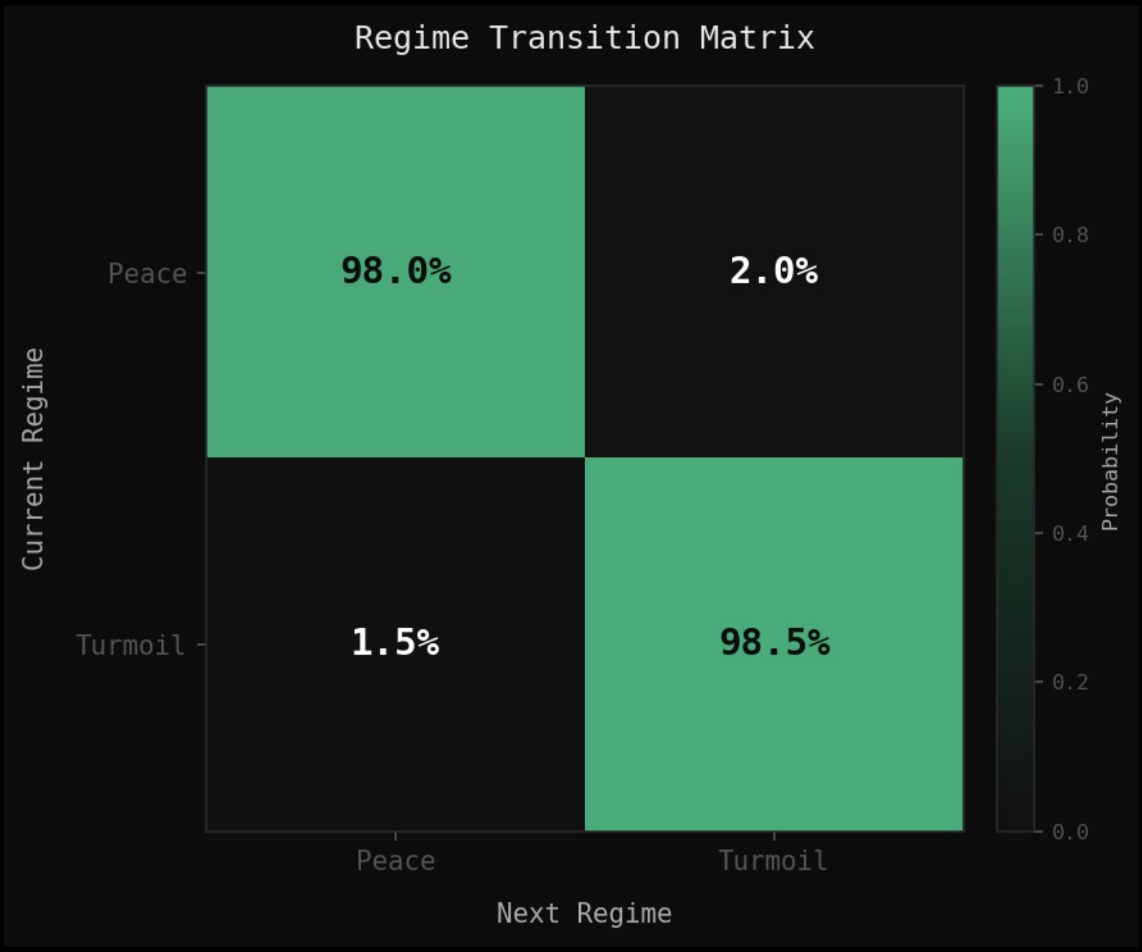

chart 7

If the market is in Peace this week, there is a 98.0% probability it is still in Peace next week. The probability of flipping to Turmoil in any given week is 2%.

If the market is in Turmoil this week, there is a 98.5% probability it is still in Turmoil next week. Only a 1.5% chance of regime exit.

These are not random draws. A 2% weekly transition probability implies a regime half-life of roughly 50 weeks. A 1.5% transition probability implies a Turmoil half-life of roughly 65 weeks. Markets are moody, not random.

The duration histograms (Chart 6) confirm this:

Peace spells: 16 observed, median duration 50 weeks, mean 51 weeks, longest 135 weeks. Most Peace spells are either very short (under 10 weeks , these tend to be brief recoveries that don't hold) or medium-to-long (50–135 weeks).

Turmoil spells: 16 observed, median duration just 18 weeks, mean 63.5 weeks, longest 402 weeks. The distribution is right-skewed. Most Turmoil spells end quickly, but the ones that don't end quickly turn into extended bear markets. The 402-week episode is almost certainly the prolonged Turmoil of the 1990s.

What this means practically:

Don't fight the regime. A fresh Turmoil signal does not resolve in two weeks , the transition matrix says it probably won't. A Peace regime that has been running for three years is statistically unlikely to end next Monday. Both states have inertia. Positioning should reflect that.

The “Mister Market” Map

The x-axis is the 12-week rolling volatility , how noisy the market is right now. The y-axis is price relative to the 52-week moving average , how far above or below trend the market is sitting.

Four quadrants emerge naturally:

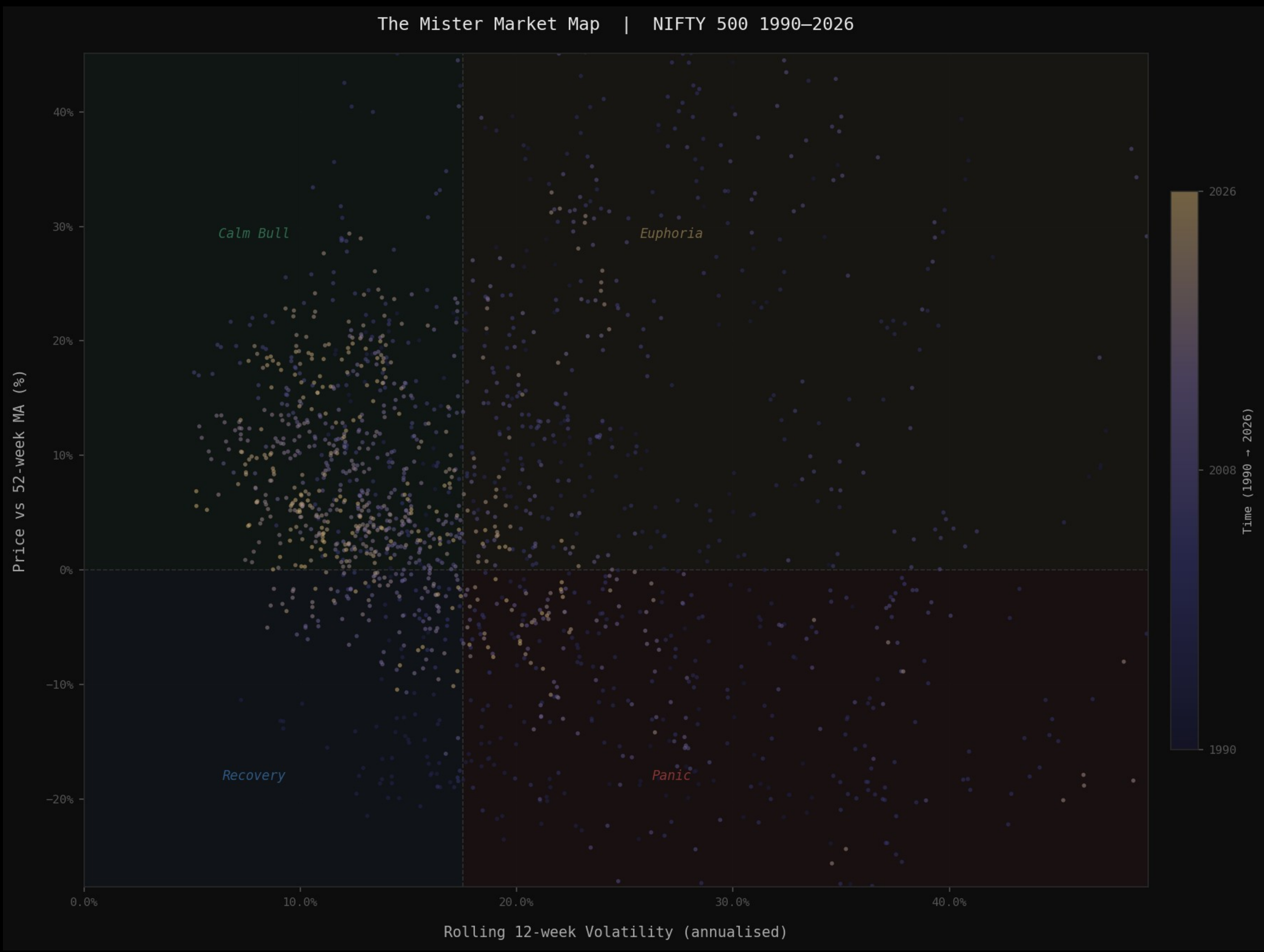

chart 8

Calm Bull (low vol, above trend): The bulk of the data sits here. Gold-tinted dots, which represent recent years, cluster tightly in the upper-left , the index above trend, volatility below 17%. This is the normal state of a functioning bull market.

Euphoria (high vol, above trend): The upper-right is less populated but important. These are the moments when the market is running hot , above trend but increasingly volatile. Late-stage bull runs often pass through here before rolling over.

Panic (high vol, below trend): The lower-right is where the damage happens. Volatility above 17%, price below the 52-week MA. These dots are sparse but significant. COVID, Lehman, and the Dot-com aftermath all generated observations in this quadrant. The forward returns from these coordinates have historically been among the best in the dataset.

Recovery (low vol, below trend): The lower-left catches the early stages of a comeback , price still below trend, but volatility already compressing. These weeks tend to precede sustained Peace periods.

The time-coded colour scale (dark purple = 1990, gold = 2026) shows a clear pattern: the market has progressively moved from lower-left over the decades as the index level rose, converging into a tight Calm Bull cluster through 2020–2024, then beginning to drift rightward again into early 2026.

This chart is a map. The current coordinate is near the Panic boundary. That is where this report finds the market today.

Capital Allocation Prefrences

The regime framework has no predictive power over tomorrow's return. It has real descriptive power over what kind of environment capital is operating in , and that changes how risk should be sized, where to look, and what to be patient about.

Four allocation principles derived from this data:

Deploy into volatility spikes, not away from them. Every major drawdown in this dataset resolved into multi-year compounding. The Harshad Mehta crash, the Dot-com bust, Lehman, COVID , all of them looked like permanent damage at the time and were buying opportunities in hindsight. Volatility above the 90th percentile has preceded the best 36-month forward periods in this dataset. The emotional hardest moment to deploy is often the statistically best one.

Reduce risk in extended, quiet bull markets. A Peace regime running past 100 weeks is statistically rare. The transition matrix says it persists with 98% weekly probability , but that compounding eventually catches up to the 2%. Late Peace is the time to trim leverage, reduce concentration in high-beta positions, and accumulate dry powder. Not because a crash is coming, but because the asymmetry shifts.

Respect regime persistence. A fresh Turmoil signal does not clear in two weeks. The median Turmoil spell is 18 weeks; the mean is 63. Cutting and redeploying every time volatility spikes will erode more capital through friction than through the volatility itself. The correct response to a Turmoil entry is to hold positioning with reduced leverage, not to liquidate and wait for peace.

Quality and liquidity matter more in Turmoil. The return distribution in Turmoil has wider tails in both directions. That means cheap, illiquid positions that worked in Peace get destroyed in Turmoil , not because the thesis is wrong, but because the exit becomes impossible at reasonable prices. In Turmoil, own what you can sell. In Peace, you can afford to own what takes time.

Conclusion

Markets are not chaotic. They are cyclical , not in price, but in temperament. The data in this report documents that cycle clearly across 35 years on the NIFTY 500.

Two regimes. Two distinct return distributions. Two different transition dynamics. Both states persistent. Both states eventually ending.

The analytical instinct , to predict which week the regime changes , is mostly wasted effort. The transition matrix tells you that each week looks almost exactly like the last, until it suddenly doesn't. The productive instinct is to ask a different question: given the current regime, what posture makes sense?

In Peace: compound, stay invested, accumulate risk assets, watch the volatility clock.

In Turmoil: hold quality, maintain liquidity, size down on speculation, keep powder dry for the weeks when volatility crosses 35%.

That is not a trading system. It is a framework for thinking about where you are in the cycle and what the historical odds of each outcome have been.

Mister Market will keep showing up with his prices. Some days reasonable, some days not. The edge is not in predicting which mood he'll be in tomorrow. It is in knowing what to do with each mood when it arrives.

DISCLAIMER: All analysis based on NIFTY 500 weekly data, 1990–2026. Regimes classified using 12-week rolling volatility and drawdown thresholds. Past regime behaviour does not determine future regime duration or transitions.